

company's management, in a letter to shareholders, said large dark stores allow it to economically service a larger selection of less-frequently purchased items, thereby enabling its growing assortment to be a viable differentiator. Zepto, which entered the fray in 2021 and is now looking to get listed, has a little over 1,000 dark stores across the country, of which about 300 are owned by franchise partners.

MAKING A BUSINESS CASE

The dark store tale has players from different backgrounds. The likes of Eternal and Swiggy came from food delivery, while Amazon brought in its e-commerce expertise.

"In 2025, strong customer momentum accelerated our expansion, enabling us to scale to over 300 micro-fulfilment centres, at an average pace of nearly two new centres every day," an Amazon India spokesperson told *BT* in a statement. "This scale-up is expanding access to ultra-fast deliveries across more pin codes in

cy. "Significant growth is expected in Tier II cities. Currently, it is largely in the top eight cities of India. Tier I & II cities will lead this expansion, while Tier III cities will emerge as high-potential markets, with secondary and suburban micro-markets playing a key role," says Arvind Nandan, Managing Director, Research & Consulting, Savills India.

The challenge lies in making money at scale. Sriharsha Majety, Co-Founder, Managing Director and Group CEO of Swiggy, acknowledged during the company's third-quarter earnings call that Instamart's recent investments into lower consumer-side monetisation have not yielded the desired incremental order growth amid "irrational competition" in the quick commerce space.

While Blinkit turned Ebitda positive for the first time in the third quarter, Motilal Oswal expects this respite to be short-lived. "We expect some volatility and no meaningful improvement in metrics in the near term, as competitive intensity heats up," it said in

QUICK COMMERCE CREATES ABOUT 62-64 JOBS FOR EVERY ₹1 CRORE OF MONTHLY GMV, FAR MORE THAN MODERN TRADE (41-42 JOBS) AND E-COMMERCE (25-29 JOBS)

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Bengaluru, Delhi, and Mumbai, with plans to add more cities in the coming months."

Its big rival in India, Walmart-owned Flipkart, has eyed q-comm for a while. Now, Flipkart Minutes offers its 10-minute delivery service across 30 cities from over 600 dark stores. The plan is to take the dark store count to 1,000 by the end of April, according to a company spokesperson.

Then there is JioMart, owned by Reliance Industries, with around 800 dark stores. "The total stores on the network is about 3,000, so dark stores are still less than 30% of the total store count, and in my bigger store, the order contribution is much higher because dark stores are typically smaller in size," Dinesh Taluja, CFO & Corporate Development, Reliance Retail, said in an analyst call after the company announced its earnings for Q3FY26.

In terms of area across dark stores, it is expected to grow from 13 million square feet to 38 million square feet, according to Savills India, a property consultan-

a note put out in December. The risk, it states, is that the market leader "could be drawn into a dogfight too, with lower minimum order values and higher discounts."

Majety strikes a more optimistic tone and says "the category is only 25% done," indicating the size of the opportunity.

DWINDLING EARNINGS

About a kilometre away from the BigBasket dark store in Vaishali, a mixed-use complex houses four big dark stores belonging to Blinkit, Amazon Now, Flipkart Minutes and Swiggy Instamart. With sizes ranging from 4,000 to 5,000 square feet, these company-operated dark stores together employ over 100 people. About, each store has 50 riders. The road outside sees a steady stream of gig workers coming in and parking their two-wheelers. Among them is Vivek Kumar (a delivery partner with Amazon Now), a differently-abled rider, who makes use of a long stick to ambulate. "I de-